



United States
Attorney's Office
Eastern District of New York



11 Defendants Indicted in Multi-Billion Health Care Fraud Scheme, the Largest Case by Loss Amount Ever Charged by the Department Of Justice



Monday, June 30, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of
New York

A Total of 15 Defendants Charged with Health Care Schemes in the Eastern District of New York as Part of National Health Care Fraud Takedown

BROOKLYN, NY – Fifteen individuals, including two pharmacists, have been charged for their participation in schemes in which the Medicare and Medicaid programs, and other health care benefit programs, were fraudulently billed more than \$10.6 billion. In one case, dubbed “Operation Gold Rush” by law enforcement, 11 defendants, members of a transnational criminal organization (the Organization) based in Russia and elsewhere, allegedly orchestrated a multi-billion-dollar health care fraud and money laundering scheme to steal from the Medicare program and private health insurance companies. The charges filed in the Eastern District of New York are part of the 2025 National Health Care Fraud Takedown, a coordinated law enforcement action across the United States led by the Department of Justice’s Criminal Division, Fraud Section Health Care Fraud Unit.

United States Attorney General Pamela Bondi; Joseph Nocella, Jr., United States Attorney for the Eastern District of New York; Matthew R. Galeotti, Head of the Justice Department’s Criminal Division; and Christian J. Schrank, Deputy Inspector General for Investigations, U.S. Department of Health and Human Services, Office of the Inspector General (HHS-OIG) announced the charges.

“This record-setting Health Care Fraud Takedown delivers justice to criminal actors who prey upon our most vulnerable citizens and steal from hardworking American taxpayers,” stated Attorney General Bondi. “Make no mistake – this administration will not tolerate criminals who line their pockets with taxpayer dollars while endangering the health and safety of our communities.”

"As alleged, the defendants perpetrated health care frauds of staggering proportions, victimizing taxpayers and government programs that serve the most vulnerable members of our society," stated United States Attorney Nocella. "My Office is working closely with our law enforcement partners to investigate and track down, here and abroad, those criminals who treat government funded programs and insurance providers like ATMs, and to hold them accountable for every dollar they brazenly stole. As for the defendants charged with submitting billions of dollars in phony Medicare claims, that is a health care fraud record they will regret setting."

Mr. Nocella expressed his appreciation to the Federal Bureau of Investigation, New York and Connecticut Field Offices; Internal Revenue Service Criminal Investigation, New York; the Organized Crime Drug Enforcement Task Forces; the New York City Department of Investigation; the New York City Police Department; and the Nassau County Police Department for their invaluable assistance.

"The Criminal Division is intensely committed to rooting out health care fraud schemes and prosecuting the criminals who perpetrate them because these schemes: (1) often result in physical patient harm through medically unnecessary treatments or failure to provide the correct treatments; (2) contribute to our nationwide opioid epidemic and exacerbate controlled substance addiction; and (3) do all of that while stealing money hardworking Americans contribute to pay for the care of their elders and other vulnerable citizens," stated Matthew R. Galeotti, Head of the Justice Department's Criminal Division. "The Division's Health Care Fraud Unit and U.S. Attorneys' Offices stand united with our law enforcement partners in this fight, and we will continue to use every tool at our disposal to protect the integrity of our health care programs for the American people."

"This case underscores the relentless commitment of HHS-OIG and our law enforcement partners to protecting the integrity of federal health care programs," stated HHS-OIG Deputy Inspector General Schrank. "Despite the scope and sophistication of this transnational criminal enterprise, our collaborative efforts helped prevent billions in fraudulent claims from being paid by Medicare. We will continue to work tirelessly across borders and agencies to identify, disrupt, and dismantle those who seek to exploit our health care system and steal from American taxpayers."

The schemes charged in the Eastern District of New York, detailed in four indictments and one information, are as follows:

Operation Gold Rush: In the largest health care fraud case by loss amount ever charged by the Department of Justice, Imam Nakhmatullaev, Svjatoslav Jakovlev, Eric Juergens, Jaan Juergens, Ilja Karunas, Juri Karunas, Jason Onoufrienko, Renek Tiku, Vladislav Turaskin, Kevin Valdhans, and Vjatseslav Zogolev were charged with conspiracy to commit money laundering. Nakhmatullaev, Jakovlev, Eric Juergens, Jaan Juergens, Onoufrienko, Tiku, Turaskin, Valdhans, and Zogolev were also charged with conspiracy to commit health care fraud, and wire fraud, and Jakovlev, Valdhans, Jaan Juergens, and Onoufrienko were each charged with one count of health care fraud. As alleged in the indictment, the defendants were members of a transnational criminal organization based in Russia and elsewhere, that orchestrated a multi-billion-dollar health care fraud and money laundering scheme to target, exploit, and steal from Medicare. The Organization purchased dozens of durable medical equipment companies (Scheme DME Companies) that already had the ability to submit claims to

Medicare and Medicare Supplemental Insurers. The Organization executed these purchases by paying foreign nationals and others to serve as nominee owners of the Scheme DME Companies. The Organization then created fictitious corporate records that falsely indicated that the nominee owners controlled the Scheme DME Companies when, in fact, they were controlled by the Organization's foreign-based leadership. After the Organization gained control over the Scheme DME Companies, it rapidly submitted billions of dollars in false and fraudulent health care claims to Medicare. The Organization did so by stealing the identities and personal identifying information of more than one million Americans in all 50 states, including elderly and disabled Americans.

The Organization submitted over \$10.6 billion in fraudulent Medicare claims for DME. HHS-OIG and the Centers for Medicare and Medicaid Services successfully prevented the Organization from receiving the vast majority of the money that it conspired to steal from Medicare. The fraudulent scheme nonetheless resulted in payments to Scheme DME Companies from Medicare Supplemental Insurers estimated to be nearly \$900 million and Medicare payments to the Scheme DME Companies of approximately \$41 million.

As further alleged, the Organization exploited the U.S. financial system. The Organization leveraged U.S. financial institutions to deposit checks and transfer funds out of accounts. The health care fraud proceeds were particularly susceptible to laundering because they originated from legitimate sources—Medicare and Medicare Supplemental Insurers—giving the funds the initial appearance of legitimacy. The Organization deployed a range of tactics to circumvent the anti-money laundering controls at multiple financial institutions. To open financial accounts, the Organization armed its nominee owners, many of whom were not lawfully present in the United States, with false documentation reflecting that the nominee owners maintained beneficial ownership and control of the Scheme DME Companies for which they were attempting to open accounts and thereby disguised the true beneficial ownership and control of the entities and the accounts. Moreover, the use of the Scheme DME Companies' names to open financial accounts allowed the Organization to benefit from the illusion of legitimate commercial activity within the health care market. Upon opening the financial accounts, the Organization funneled fraud proceeds from Medicare and Medicare Supplemental Insurers into the accounts as seemingly "clean" money. From there, the Organization siphoned off the funds to shell companies and various banks overseas, including banks in China, Singapore, Pakistan, Israel, and Turkey. To further conceal the money trail, the Organization leveraged cryptocurrency to launder the stolen funds.

The Organization constantly evolved, recruiting new nominee owners, stealing new identities, and acquiring new Scheme DME Companies to replace those shut down by law enforcement. This evolution was made possible through the Organization's extensive use of virtual private servers (VPSs) to execute nearly all digital aspects of the scheme. The VPSs allowed the Organization to use a cyberinfrastructure that helped conceal conspirators' true physical locations, mask Organization IP addresses, and scale fraudulent operations internationally.

Four defendants, Ilja Karunas, Juri Karunas, Erik Juergens, and Renek Tiku were arrested June 25, 2025 in Estonia on these charges, and the United States is seeking their extradition. The remaining seven defendants are at large.

To date, the government has seized approximately \$27.7 million in fraud proceeds as part of Operation Gold Rush, subject to criminal forfeiture and civil forfeiture in a case filed in the District of Connecticut. The criminal case is being prosecuted by Strike Force Assistant Chiefs Kevin Lowell and Shankar Ramamurthy, and Strike Force Trial Attorneys Leonid Sandlar, Sara Porter, Andres Almendarez, Monica Cooper, Thomas Campbell, Danielle Sakowski, and Matthew Belz. Trial Attorneys Emily Cohen and Chelsea Rooney of the Money Laundering and Asset Recovery Section, and Assistant U.S. Attorney David C. Nelson of the District of Connecticut are handling civil forfeiture matters.

The United States thanks the Economic Crime Bureau of the National Criminal Police of the Estonian Police and Border Guard Board and the Office of the Prosecutor General for support with the investigation.

United States v. Mak: Hong Yuen Mak, also known as "Joe Mak," waived indictment and pleaded guilty to an information charging him with conspiracy to offer and pay kickbacks in an alleged scheme to fraudulently bill Medicare over \$1 million for over the counter (OTC) products. As alleged, Mak, a pharmacy owner, and his co-conspirators paid pharmacy customers with gift cards in exchange for charging the customers' OTC cards for non-existent transactions. Assistant U.S. Attorney John Vagelatos is in charge of the prosecution.

United States v. Manaev: Boris Manaev is charged with health care fraud and unlawful monetary transactions in connection with an \$8.2 million scheme. As alleged in the indictment, Manaev, the owner of BB Medical Equipment Inc., billed Medicare \$8.2 million for medically unnecessary DME that was shipped nationwide. Hespent some of the proceeds of the fraud on improvements to his home. Trial Attorney Patrick J. Campbell of the Northeast Strike Force is in charge of the prosecution.

United States v. Huq: Mujjahid Huq is charged by indictment with three counts of health care fraud, two counts of unlawful monetary transactions, and conspiracy to make false statements in health care matters in connection with a \$2.1 million pharmacy fraud scheme. As alleged in the indictment, Huq, a licensed pharmacist, owned several pharmacies in Brooklyn, Queens, and Buffalo, New York. Through these pharmacies, Huq billed Medicare and Medicaid \$2.1 million for drugs that were not dispensed. Huq also allegedly agreed with others to make false statements about his ownership of the pharmacies, and used the fraud proceeds for his personal benefit. Trial Attorneys Patrick J. Campbell and Arun Bodapati of the Northeast Strike Force are in charge of the prosecution.

United States v. Brown-Arkah: Joseph Tony Brown-Arkah is charged with conspiracy to commit health care fraud, health care fraud, conspiracy to distribute narcotics, and narcotics distribution in connection with an alleged \$85 million health care fraud and narcotics distribution scheme. As alleged in the superseding indictment, Brown-Arkah, the owner of a Suboxone clinic doing business as American Medical Centers (AMC), together with others, engaged in a scheme to bill Medicare and Medicaid fraudulently for services not provided or not provided as billed, and to prescribe narcotics pursuant to prescriptions that were not issued for a legitimate medical purpose by a provider acting in the usual course of professional practice. In particular, AMC patients received prescriptions for Suboxone (a Schedule III narcotic) after meeting with non-licensed medical providers, an excluded provider, or in some instances, no health care provider whatsoever. The prescriptions were written by a medical

provider living in Florida, who did not see or speak with the patients; instead, the provider typically issued the prescriptions based on information provided by Brown-Arkah or another co-conspirator. AMC patients were also required to submit to urine drug screening, blood tests, and sometimes other diagnostic testing in order to receive their Suboxone prescriptions; the laboratory and diagnostic tests, which were typically ordered by Brown-Arkah or by a co-conspirator who had been excluded from Medicare and Medicaid, were likewise billed to Medicare and Medicaid. Trial Attorneys Miriam Glaser Dauermann of the National Rapid Response Strike Force and Maggie Mortimer of the Northeast Strike Force are in charge of the prosecution.

The charges in the indictments and the information are allegations, and the defendants are presumed innocent unless and until proven guilty.

The Defendants:

IMAM NAKHMATULLAEV

Age: 24

Russia

SVJATOSLAV JAKOVLEV

Age: 29

Estonia; New York, New York

ERIC JUERGENS

Age: 29

Estonia; Brooklyn, New York

JAAN JUERGENS

Age: 32

Estonia; Brooklyn, New York

ILJA KARUNAS

Age: 26

Estonia

JURI KARUNAS

Age: 27

Estonia; Brooklyn, New York

JASON ONOUFRIENKO

Age: 24

Plantation, Florida

RENEK TIKU

Age: 34

Estonia; Brooklyn, New York

VLADISLAV TURASKIN

Age: 29

Estonia; Brooklyn, New York

KEVIN VALDHANS

Age: 27

Czech Republic

VJATSESLAV ZOGOLEV

Age: 33

Estonia

E.D.N.Y. Docket No. 25-CR-203 (RPK)

HONG YUEN MAK (also known as "Joe Mak")

Age: 40

Brooklyn, New York

E.D.N.Y. Docket No. 25-CR-158 (DG)

JOSEPH TONY BROWN-ARCAH

Age: 78

Brooklyn, New York

E.D.N.Y. Docket No: 24-CR-263 (FB)

BORIS MANAEV

Age: 45

Lynbrook, Long Island

E.D.N.Y. Docket No. 25-CR-202 (RER)

MUJJAHD HUQ

Age: 45

Halesite, New York

E.D.N.Y. Docket No. 25-CR-213 (FB)

Contact

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